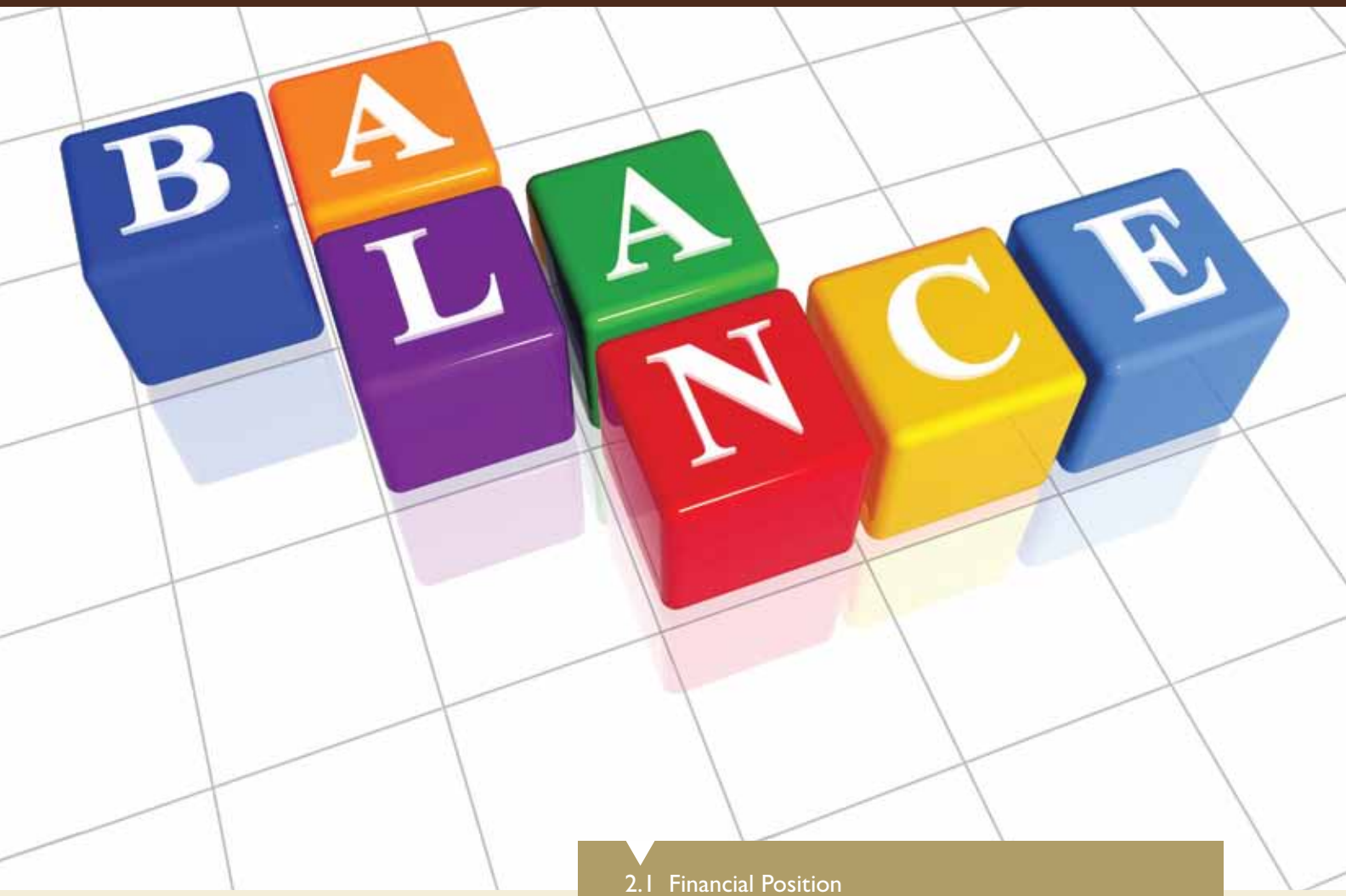
CHAPTER 2

The Balance Sheet



2.1 Financial Position
2.2 The Balance Sheet
2.3 Claims against the Assets
2.4 Accounting Standards
2.5 A Spreadsheet for Balance Sheets

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When analyzing or evaluating a business or a person's wealth, people try to determine the financial worth of the business or person. In financial terms, what is a business or a person worth? After completing this chapter, you will be able to discuss this question in greater detail.

2.1 Financial Position

One of the most important uses of accounting data is to show the financial position of a person, a business, or other organization. The **financial position** of a business is the status of the business based on its assets, liabilities, and owner's equity. In fact, the concept of financial position is basic to the whole system of accounting.

The concept of financial position is simple and straightforward. If you wanted to determine your own financial position, how would you go about it?

You would likely decide that the following three steps were necessary:

Step 1 *List and total the things that you own that have dollar values.* These are called **assets**.

Step 2 *List and total your debts.* These are called **liabilities**.

Step 3 *Calculate the difference between total assets and total liabilities.* This difference is called **equity**. Other terms for equity you might hear are **capital**, **owner's equity**, or **net worth**.

Example

Let us follow the three steps given above to work out the financial position of Chris Turner, a student, on September 15, 20–.

Step 1 List and total the things of value that Chris owns. These *assets* might be as follows:

Cash	$ 55.00
Bank Balance	245.00
Canada Savings Bonds	3 000.00
Mountain Bike	620.00
Snowboard	750.00
Computer and Electronics	1 900.00
Mobile Phone	500.00
Clothes	2 700.00
Total Assets	$ 9 770.00

Step 2 List and total Chris's debts. These *liabilities* might be as follows:

Owed to brother Philip	$220.00
Owed to Dad	300.00
Mobile Phone Bill	400.00
Total Liabilities	$920.00

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Step 3 Calculate the difference between total assets and total liabilities. The calculation is as follows:

Total Assets	$9 770.00
Total Liabilities	920.00
Difference	$8 850.00

This difference of $8850.00 is the amount that Chris is worth. It is known as his *equity*, his *capital*, or his *net worth*.

The analysis just completed shows that three steps are needed to work out a person's financial position. These same three steps are needed to work out the financial position of a business or other organization.

The Fundamental Accounting Equation

The previous section showed that the total assets minus the total liabilities equals equity or capital. This relationship is always true and can be written in the form of an equation.

This **fundamental accounting equation** may be stated in this way

A − L = OE (Assets − Liabilities = Owner's Equity)

The equation above is useful for calculating equity. It can be rearranged to be represented in its most common form

The variable, OE, can be replaced with E for just equity.

A = L + OE (Assets = Liabilities + Owner's Equity)

Now let us use the figures for Chris Turner to see the fundamental accounting equation at work

A	−	L	=	OE
$9 770.00		$920.00		$8 850.00

or

A	=	L	+	OE
$9 770.00		$920.00		$8 850.00

The fundamental accounting equation is extremely important in the study of accounting. As you will soon see, it is the basis on which accounting theory is built.

Review Questions

Section 2.1

1. Explain how to calculate a person's financial position.
2. Define asset.
3. Define liability.
4. Define owner's equity.
5. What is another term that means the same thing as equity?
6. Give two forms of the fundamental accounting equation.

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Section 2.1

Exercises

1. Classify each of the following as an asset or a liability:

office furniture	an amount loaned to R. Jonas
land	mortgage payable
bank loan	automobile
house and lot	a bank deposit
an unpaid heating bill	

2. Karen Lipka has assets of $150 000 and liabilities of $65 000. What is her equity?

3. If the total assets of a business are $37 486.49 and the total liabilities are $11 547.80, calculate the owner's equity.

4. On December 31, 20–1, A. Lower's accounting equation was as follows:

Assets ($150 000) − Liabilities ($70 000) = Equity ($80 000)

If during 20–2 the assets increase by $70 000 and the liabilities decrease by $20 000, calculate the owner's equity at December 31, 20–2.

5. Claude Pineau, a factory worker in Hull, Quebec, asks you to help him find out how much he is worth. From a discussion with him you find out the following facts:

- His bank balance is $3650.
- He owns a home valued at $492 000, which has a mortgage on it of $162 360.
- He owns furniture and household equipment valued at $55 000.
- He owns a summer property valued at $225 000, which he bought entirely with money borrowed from the bank. Since the time of purchase he has paid back $80 000 of the loan.
- He has unpaid bills amounting to $4200.
- He owes his father-in-law, M. Dupuis, the sum of $50 000, which he borrowed interest-free several years ago at the time he bought his home.

List Claude Pineau's assets in one column, his liabilities in another, and calculate his equity.

6. Paul Silva's assets and liabilities are listed below in random order.

Bank balance, $856.25; Bank loan, $5000.00; House and lot, $185 000.00; Cash on hand, $85.35; Amount owed to Imperial Oil, $135.60; Amount owed to Weston Hydro, $85.50; Miscellaneous equipment, $1850.00; Mortgage on house and lot, $90 000.00; Household furniture and furnishings, $4800.00; Amount loaned to Phil Silva, $2000.00.

A. **List the assets in one column and total them.**

B. **List the liabilities in another column and total them.**

C. **Calculate Paul Silva's equity.**

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The Balance Sheet

2.2

The formal way of presenting financial position is by means of a balance sheet. A **balance sheet** is a statement showing the financial position of a person, business, or other organization. Figure 2.1 contains the balance sheet that shows the financial position of Chris Turner whom you met on page 18.

Chris Turner			
Balance Sheet			
September 15, 20–			
Assets		*Liabilities*	
Cash	$ 55 00	Owed to brother Philip	$ 220 00
Bank Balance	245 00	Owed to Dad	300 00
Canada Savings Bonds	3 000 00	Mobile Phone Bill	400 00
Mountain Bike	620 00	Total Liabilities	$ 920 00
Snowboard	750 00		
Computer and Electronics	1 900 00	*Owner's Equity*	
Mobile Phone	500 00	Chris Turner, Capital	8 850 00
Clothes	2 700 00		
Total Assets	$ 9 770 00	Total Liabilities and Equity	$ 9 770 00

Figure 2.1

A personal balance sheet

Formats of balance sheets vary. The slight differences are due in part to the accounting standards that govern private businesses and public companies. You will learn more about these standards in Section 2.4.

Although you will work with balance sheets that have small differences in appearance, remember that they all share a common purpose—that is, to show financial position. The balance sheet in Figure 2.2 shows the financial position for a small business.

Easy Rent-Alls			
Balance Sheet			
September 30, 20–			
Assets		*Liabilities*	
Cash	$ 6 750 20	Accounts Payable	
Accounts Receivable		– Arrow Supply	$ 3 950 40
– W. Boa	2 231 50	– Best Repairs	6 250 00
– T. Burns	4 350 00	Bank Loan	35 000 00
Supplies	2 965 10	Mortgage Payable	95 200 00
Land	148 000 00	Total Liabilities	$140 400 40
Buildings	134 000 00		
Rental Equipment	75 364 70	*Owner's Equity*	
		J. Salas, Capital	233 261 10
Total Assets	$373 661 50	Total Liabilities and Equity	$373 661 50

Figure 2.2

A balance sheet of a small business

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Important Features of the Balance Sheet

Examine the two balance sheets (Figures 2.1 and 2.2) carefully. In particular, observe the following:

1. The balance sheet is set up in the form of the fundamental accounting equation

   $$A = L + OE$$

   The assets appear on the left side, and the liabilities and the owner's equity appear on the right side.

2. A three-line heading is used. The heading tells
   - WHO?—the name of the individual, business, or other organization
   - WHAT?—the name of the financial statement (in this case, the balance sheet)
   - WHEN?—the date on which the financial position is determined

Accounting principles for a small business like Easy Rent-Alls are defined by Accounting Standards for Private Enterprises (ASPE). The practice of listing assets in order of liquidity differs between ASPE and International Financial Reporting Standards (IFRS). You will learn more about these standards in Section 2.4.

3. The assets are generally listed in the order of their *liquidity*. **Liquidity** means the order in which the assets could be most quickly converted into cash. Accordingly, Cash is listed first. Accounts Receivable are amounts that will be paid to the business by customers in a month or two. They appear on the balance sheet soon after Cash. Long-lasting assets, such as equipment and buildings, are listed later because normally they are not converted into cash but are used in the operation of the business.

4. The liabilities are generally listed in the order in which they are normally paid.

5. The financial details of any item are fully disclosed on a balance sheet. For example, on the balance sheet for Easy Rent-Alls, Land and Buildings are listed in the Assets section at their respective values of $148 000 and $134 000. The amount that is owed against the property, the Mortgage Payable of $95 200, is listed in the Liabilities section. This is a more informative presentation than if, for example, Land and Buildings had just been shown as a total of $186 800 ($148 000 + $134 000 − $95 200).

6. The two final totals, one on each side of the balance sheet, are recorded on the same line and underlined with a double line.

Accounts Receivable and Accounts Payable

On the balance sheet of Easy Rent-Alls (Figure 2.2), you will also see the items Accounts Receivable and Accounts Payable. These two items are explained as follows:

Accounts Receivable The customers of a business often buy goods or services from a business with the understanding that they will pay for them later. These customers then owe money to the business. They are in debt to the business. The debts owed represent a dollar value to the business, so the business is right to include them among its assets on the balance sheet.

These debts of customers are known as **accounts receivable** (sometimes abbreviated A/R). Each of the customers owing money to the business is one of its debtors. A **debtor** is anyone who owes money to the business.

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Accounts Payable Similarly, a business often purchases goods and services from its suppliers with the understanding that payment will be made later. The business is in debt to its suppliers. These debts to suppliers represent a dollar obligation of the business. The business is right to include them among its liabilities.

Debts owed by the business are referred to as **accounts payable** (sometimes abbreviated A/P). Each of the suppliers owed money by the business is one of its creditors. A **creditor** is anyone to whom the business owes money.

Preparing a Balance Sheet

The steps in preparing a simple balance sheet are shown in the following illustrations. The balance sheet of Easy Rent-Alls is used in the example.

Step 1 Write in the statement heading on columnar paper as shown in Figure 2.3 below. The heading must indicate the name of the business, the name of the statement, and the date of the statement.

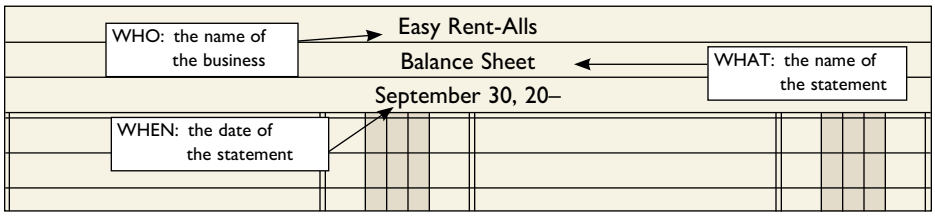

Figure 2.3
The heading on a balance sheet

Step 2 Write in the subheading "Assets" at the top of the left-side column. Underline the sub-heading or make it stand out by using a different writing style or colour. Then write in the individual assets on the left side as shown in Figure 2.4 below.

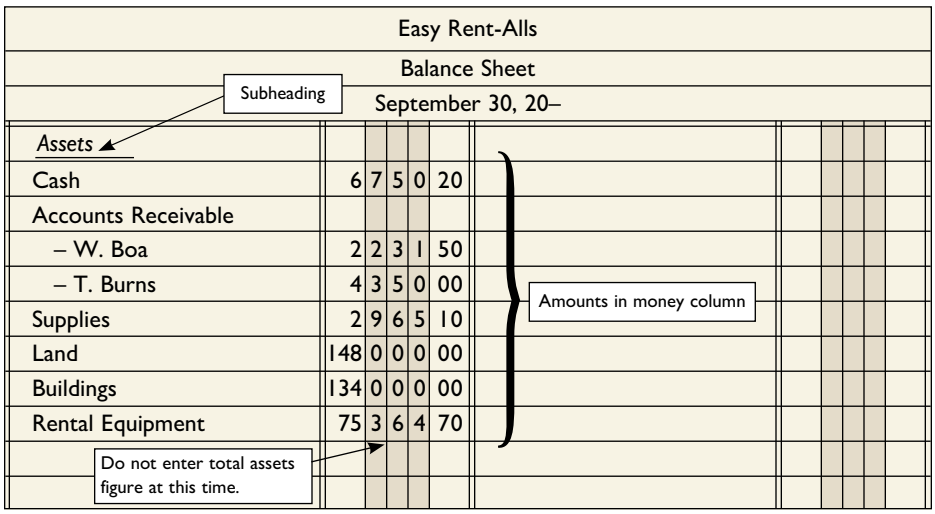

Figure 2.4
The assets listed on a balance sheet

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Small businesses generally list their assets in the order of their liquidity. Cash is listed first. Accounts receivable are listed next because they are usually collected within 30 days. (The balance sheets in the first part of this text show the names of customers and list them in alphabetical order.) Supplies and long-lasting assets, such as delivery trucks, equipment, and buildings, are listed later because normally they are not converted into cash.

Step 3 Write in the subheading "Liabilities" at the top of the right-side column. Format the subheading the same way you formatted "Assets." Then write in the liabilities on the right side as shown in Figure 2.5. The liabilities are listed in the order in which they will be paid. Suppliers' names are usually placed in alphabetical order.

Draw a line below the last liability amount to indicate that you are adding up the figures above the line. Then write in "Total Liabilities" and the total.

Liabilities are listed in the order in which they must be paid.

In this text and in business, you will see several balance sheets showing Bank Loan before Accounts Payable. This is because the loan may be repayable on demand, which gives the bank the right to call in the loan at any time. Bank management will occasionally use this right to demand repayment if they think the funds they lent are at significant risk.

Easy Rent-Alls
Balance Sheet
September 30, 20–

Subheading

Assets		*Liabilities*	
Cash	6 7 5 0 20	Accounts Payable	
Accounts Receivable		– Arrow Supply	3 9 5 0 40
– W. Boa	2 2 3 1 50	– Best Repairs	6 2 5 0 00
– T. Burns	4 3 5 0 00	Bank Loan	35 0 0 0 00
Supplies	2 9 6 5 10	Mortgage Payable	95 2 0 0 00
Land	148 0 0 0 00	Total Liabilities	140 4 0 0 40
Buildings	134 0 0 0 00		
Rental Equipment	75 3 6 4 70		

Single ruled line before the total

The total of the liabilities is entered at this time.

Figure 2.5

The liabilities listed on a balance sheet

Step 4 Beneath the liabilities, write in the subheading "Owner's Equity" and format it so it looks like the subheadings for "Assets" and "Liabilities." Then write in the owner's name plus the word "Capital" and the equity figure, as shown in Figure 2.6 on the next page. As you know, the equity amount is the difference between the total assets and the total liabilities. You have to know the amount of total assets to calculate equity, but do not write it in until step 5 on the next page.

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Easy Rent-Alls			
Balance Sheet			
September 30, 20–			
Assets		*Liabilities*	
Cash	6 7 5 0 20	Accounts Payable	
Accounts Receivable		– Arrow Supply	3 9 5 0 40
– W. Boa	2 2 3 1 50	– Best Repairs	6 2 5 0 00
– T. Burns	4 3 5 0 00	Bank Loan	35 0 0 0 00
Supplies	2 9 6 5 10	Mortgage Payable	95 2 0 0 00
Land	148 0 0 0 00	Total Liabilities	140 4 0 0 40
Buildings	134 0 0 0 00		
Rental Equipment	75 3 6 4 70	*Owner's Equity*	
		J. Salas, Capital	233 2 6 1 10

Subheading

The name of the owner and the word "Capital"

Figure 2.6

The owner's equity recorded on a balance sheet

Step 5 Complete the balance sheet by writing in the final totals as shown in Figure 2.7. These totals are written on the first fully open line.

On this line, write in "Total Assets" on the left side and "Total Liabilities and Equity" on the right side. Write in the totals. The two totals must be on the same line and must agree. Place a single ruled line above and a double ruled line below each of the two totals.

For an online demonstration of the steps to follow to create a balance sheet, visit the *Accounting 1* website.

Step 6 To help you develop the habit of correctly using dollar signs, this text shows them on most balance sheets. In Figure 2.7, notice a dollar sign is placed with the first amount in every column. A dollar sign is also used beneath each single ruled line in each column.

Easy Rent-Alls			
Balance Sheet			
September 30, 20–			
Assets		*Liabilities*	
Cash	$ 6 7 5 0 20	Accounts Payable	
Accounts Receivable		– Arrow Supply	$ 3 9 5 0 40
– W. Boa	2 2 3 1 50	– Best Repairs	6 2 5 0 00
– T. Burns	4 3 5 0 00	Bank Loan	35 0 0 0 00
Supplies	2 9 6 5 10	Mortgage Payable	95 2 0 0 00
Land	148 0 0 0 00	Total Liabilities	$140 4 0 0 40
Buildings	134 0 0 0 00		
Rental Equipment	75 3 6 4 70	*Owner's Equity*	
		J. Salas, Capital	233 2 6 1 10
Total Assets	$373 6 6 1 50	Total Liabilities and Equity	$373 6 6 1 50

Figure 2.7

The completed balance sheet for a business with dollar signs included

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Basic Recordkeeping Practices

When To Abbreviate

Avoid using abbreviations of names on financial statements, such as balance sheets, except when a business name includes an abbreviation. For example, General Bakeries Ltd. is the formal name of a business; therefore, the abbreviation Ltd. can be used. However, in the case of Canadian Electric Company, do not abbreviate Company to Co.

Use of Columnar Paper

It is important for an accounting student to learn to use columnar paper. When columnar paper is used, notice how the figures are placed carefully in the columns. This is to help the accountant total the columns correctly. Observe that commas and decimal points are not used when recording amounts of money in columns.

When using columnar paper, even-dollar amounts may be shown by placing a dash in the cents column. Thus, in the following illustration, 965—may be used instead of 965.00.

	9	6	5	–
48	5	0	0	32
214	0	0	0	–
75	3	6	4	74

Use of Ruled Lines

If a column of figures is to be totalled (added or subtracted), a single line is drawn beneath the column and the total is placed beneath this single line as shown.

	9	6	5	–
48	5	0	0	32
214	0	0	0	–
75	3	6	4	74
338	8	3	0	06

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If a total happens to be a final total, such as the last amounts on the balance sheet, a double ruled line is drawn immediately beneath the total as shown.

	9	6	5	–
48	5	0	0	32
214	0	0	0	–
75	3	6	4	74
338	8	3	0	06

On most balance sheets, in order to place the two final totals on the same line, it is often necessary to leave one or more blank lines between the figures in a column and the column total. (Figure 2.7 on page 25 provides an example.) When this is done, the single ruled line is placed close to the "total" figure and not immediately beneath the figures in the column. The following examples show this:

	9	6	5	–
48	5	0	0	32
214	0	0	0	–
75	3	6	4	74
338	8	3	0	06

incorrect

	9	6	5	–
48	5	0	0	32
214	0	0	0	–
75	3	6	4	74
338	8	3	0	06

correct

Neatness

It is most important that an accountant's work be neat and perfectly legible. This is necessary so that no one misinterprets the writing or the numbers.

From the beginning, you should make it a habit to strive for neatness, accuracy, and clarity in all of your exercises. Be sure to use your ruler when you rule lines beneath headings and in the columns.

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Section 2.2 ▶

Review Questions

1. What is a balance sheet?
2. Where does the name of a business appear in the heading of a balance sheet?
3. On which side of a balance sheet are the assets listed? The liabilities?
4. How is an automobile that is not fully paid for listed on a balance sheet?
5. Give two rules for placing dollar signs on balance sheets.
6. On which side of a balance sheet does a creditor appear?
7. What is meant by a single ruled line drawn beneath a column of figures?
8. Why is it important for an accountant's work to be neat?
9. When is a double ruled line drawn beneath a total?
10. When can short forms or abbreviations be used on financial statements?
11. Which is the most liquid asset? Why?
12. In what order are liabilities listed on a balance sheet?
13. In what order are assets listed on a balance sheet?
14. What are accounts receivable?
15. What are accounts payable?
16. What term describes any supplier to whom the business owes money?
17. What term describes any company or person who owes money to the business?

Section 2.2 ▶

Exercises

1. Kate Kramer is the owner and operator of The Kramer Company located in Kingston, Ontario. On September 30, 20–, The Kramer Company had the following assets and liabilities.

   A. **Prepare the September 30 balance sheet for The Kramer Company.**

Assets	
Cash	$ 1 636
Debtors	
J. Crothers	1 100
R. Zack	370
Supplies	1 200
Furniture and Equipment	14 700
Delivery Equipment	20 100
Liabilities	
Creditors	
Able Supply Company	4 740
C.P. Gregg	3 000
Bank Loan	10 000

   B. If the Kramer Company were a retailing business, it would list an asset named Merchandise Inventory. **What do you suppose Merchandise Inventory is? After which asset on the balance sheet would you place Merchandise Inventory? Explain why you would choose this location.**

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2. The New Western Company in Fort Frances, Ontario, owned by Guy Albrecht, had the following assets and liabilities on March 31, 20–. **Prepare a balance sheet for the business as of that date.**

Cash	$ 1 896
Debtors	
Tasty Beverages	750
Food Haven	400
Metro Mall	1 235
Furniture and Equipment	75 840
Supplies	850
Trucks	35 000
Land	90 000
Building	140 000
Creditors	
Household Finance Company	19 345
General Trading Company	2 356
Lightning Electronics	3 378
Mortgage Payable	95 000
Bank Loan	10 000

3. Michael Travis, the owner of Travis and Company located in Moncton, New Brunswick, gave the following list of assets and liabilities to a public accountant and asked him to prepare a balance sheet as of March 31, 20–. **Prepare the balance sheet as if you were the public accountant.**

Amounts owed to Travis and Company

—G. Fordham	$ 1 042.16
—W. Gaines	743.86
—D. Samuelson	1 346.95

Amounts owed by Travis and Company to suppliers

—Beacon Company	1 567.25
—Gem Finance	1 236.45
—General Supply	15 540.00
—Raymond and Company	125.00

Office Supplies	326.40
Cash	4 946.03
Office Equipment	11 960.00
Delivery Equipment	14 240.00
Bank Loan	25 000.00
Mortgage Payable	92 000.00
Building	135 000.00
Land	146 000.00

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2.3 Claims against the Assets

In the previous section, you saw that a business lists the assets it owns on the left side of a balance sheet. Who is entitled to these assets? The answer is shown on the right side of the balance sheet. That is, both the creditors and the owner have a claim on the assets.

Why do the creditors and owner have a claim on the assets? Part of the answer is that they have either provided the funds used to acquire the assets, or they have provided the assets themselves.

Figure 2.8 below shows the balance sheet of Pacioli Designs, owned by Grace Cho. It shows clearly all the business assets that can be claimed and who has a right to claim them.

Pacioli Designs
Balance Sheet
December 31, 20–

Claims of the creditors

Assets		*Liabilities*	
Cash	$ 1 6 1 8 00	Bank Loan	$ 9 0 0 0 00
Accounts Receivable		Accounts Payable	
– J. Tenney	1 3 5 0 00	– CMYK Supplies	1 9 0 5 15
– V. Weiss	1 8 5 0 50	– Golden Art Store	2 2 9 9 90
Supplies	1 7 5 0 50	– Premium Printing	1 7 5 0 95
Furniture	4 7 0 2 00	Total Liabilities	$14 9 5 6 00
Equipment	16 0 0 0 00		
Automobile	21 8 5 0 00	*Owner's Equity*	
		Grace Cho, Capital	34 1 6 5 00
Total Assets	$49 1 2 1 00	Total Liabilities and Equity	$49 1 2 1 00

Assets available to be claimed

Claim of the owner

Figure 2.8

The balance sheet of Pacioli Designs showing its assets and the claims against those assets

As shown on the left side of the balance sheet, the business assets are $49 121.00. The right side of the balance sheet shows that these assets, or the funds to obtain them, were provided by the bank, $9000; the other creditors, $1905.15, $2299.90, and $1750.95; and by Grace Cho herself, $34 165.00.

The total amount of assets is subject to claims from two sources: the creditors and the owner. Thinking about assets and the claims against them will help you understand why the fundamental accounting equation is written as A = L + OE.

$$\underbrace{\$49\,121.00}_{\text{Assets}} = \underbrace{\$9000 + \$1905.15 + \$2229.90 + \$1750.95}_{\text{Creditors' claims against the assets}} + \underbrace{\$34\,165.00}_{\text{Owner's claim against the assets}}$$

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Creditors' Claims First

Selling the assets of a business for cash is called liquidation.

If a business is closed down, who takes possession of the assets? They still belong to the owner and to the creditors. The claims of the creditors will be settled first, followed by the claim of the owner. This means that the owner has to accept any losses that might occur from selling off any assets. On the other hand, the owner benefits from any profits that might occur. The owner always gets what is left after the claims of the creditors have been paid.

Suppose that Grace Cho closed down Pacioli Designs, collected the accounts receivable, and then sold the supplies, furniture, equipment, and automobile. Further assume that she did not sell her assets for the values listed on the balance sheet shown in Figure 2.8. In fact, after liquidation, the business was left with total assets of $37 571 in cash. This represents a decrease or loss of $11 550 (from $49 121 to $37 571).

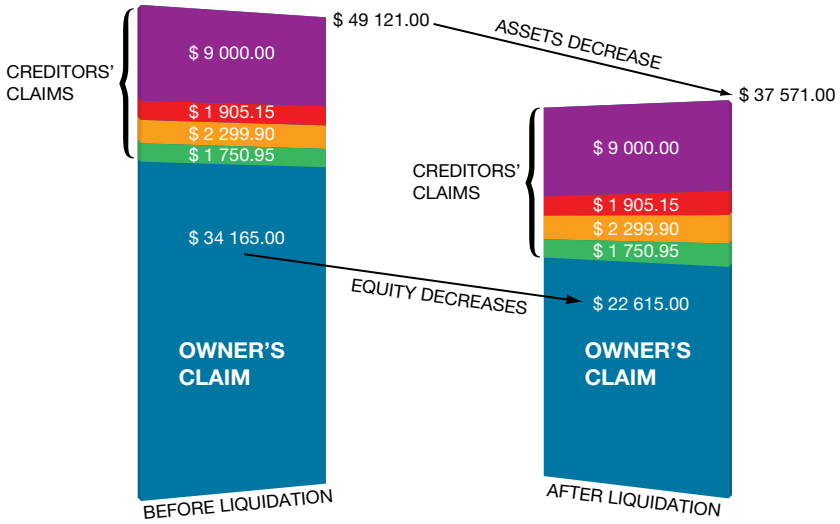

Figure 2.9

The change in claims after the assets of Pacioli Designs are liquidated

From the graphs in Figure 2.9, you can see that the claims of the creditors (the liabilities) do not change. The drop in the value of assets simply means that the owner has less to claim (equity). This loss can be shown using the assets equation.

$$\underbrace{\$37\,571}_{\text{Assets}} = \underbrace{\$9000 + \$1905.15 + \$2299.90 + \$1750.95}_{\text{Creditors' claims against the assets}} + \underbrace{\$22\,615.00}_{\text{Owner's claim against the assets}}$$

Section 2.3 ▶

Review Questions

1. Give two reasons why creditors have claims against the assets of a business.
2. How can you quickly find out who has a claim against the assets of a business?
3. Who has first claim against the assets of a business?
4. Who benefits from gains made in closing down a business?
5. Who (primarily) suffers from losses incurred in closing down a business?

Section 2.3 ▶

Exercises

1. Joseph Litz is the owner of Bayliner Boat Charters, a business in Truro, Nova Scotia, that has six sailboats for hire. Mr. Litz has been able to make a comfortable living from renting out these boats during the sailing season.

BAYLINER BOAT CHARTERS
BALANCE SHEET
OCTOBER 31, 20–

Assets		*Liabilities*	
Bank	$ 900	Bank Loan	$ 18 000
Accounts Receivable	1 050	Accounts Payable	3 740
Supplies	1 250	Mortgage Payable	80 000
Property	175 000	Total Liabilities	$101 740
Equipment	4 390	*Owner's Equity*	
Boats	32 850	J. Litz, Capital	113 700
Total Assets	$215 440	Total Liabilities and Equity	$215 440

Mr. Litz is past retirement age and is finding the business more than he can comfortably handle. He has attempted to sell it intact, but has been unsuccessful. He has decided, therefore, to sell the assets for cash and pay off the claims of the creditors. In this way, he can get his equity out of the business.

Mr. Litz hires a liquidator to help him. Through this person's services, the accounts receivable are collected in full. The supplies are sold for $500; the equipment is sold for $2000; the boats are sold for $20 350; and the property is sold for $180 000. The liquidator charges $1500.

A. **Prepare a detailed calculation showing how much Mr. Litz will receive as a result of his claim against the assets.**

B. **Why would the owner prefer to sell the business intact rather than the assets?**

2. Carla Mann is the owner of Carla's Interior Design in London, Ontario. A new firm has come to town and Carla has accepted a position with them. Carla is closing down her own business and is in the process of selling the assets.

©P

Just before she accepted her new position, the balance sheet of Carla's Interior Design was as follows:

CARLA'S INTERIOR DESIGN
BALANCE SHEET
JUNE 30, 20–

Assets		*Liabilities*	
Cash	$ 1 500	Bank Loan	$ 9 500
Accounts Receivable	7 870	Accounts Payable	1 250
Supplies	1 520	Total Liabilities	$10 750
Equipment	3 740	*Owner's Equity*	
Automobile	17 500	Carla Mann, Capital	21 380
Total Assets	$32 130	Total Liabilities and Equity	$32 130

Carla was successful in selling the supplies for $1200 cash and the equipment for $2200 cash. She was also able to collect in cash all of the accounts receivable except for $870, which was considered to be uncollectable.

A. **Prepare a simple balance sheet as of July 31, after disposing of the three assets mentioned above.**

B. **Suggest the simplest way to dispose of the remaining assets and thus complete the closing of the business.**

Accounting Standards

◀ 2.4

In performing their work, accountants throughout the world follow sets of rules or standards. Historically, the Canadian Institute of Chartered Accountants (CICA) has established the standards for Canadian accountants. These standards are made available in the *CICA Handbook*, a publication that is updated regularly so that it reflects current accounting opinions and decisions. The most significant sections of the handbook contained the **Canadian Generally Accepted Accounting Principles (Canadian GAAP)**. Some GAAPs were formal regulations and others described what has become common practice over the years.

Originally, CICA committees were created to oversee Canadian accounting practice. Eventually these committees combined to form one separate governing body called the **Accounting Standards Board (AcSB)**. The board makes its decisions independently after consulting with many organizations and like-minded boards, including the **International Accounting Standards Board (IASB)**.

In 2006, the AcSB announced a process to replace the Canadian GAAP with the **International Financial Reporting Standards (IFRS)**, which are set by the IASB. The move to these international standards will help Canadian businesses communicate globally. The number of countries that have adopted or permitted IFRS is well over 100 with more joining this globalization trend.

The start date for moving to IFRS was January 1, 2011. This requirement was for public companies only. Public companies are those listed on stock exchanges.

Private businesses are not listed on stock exchanges. To help these organizations make the transition to global standards, the AcSB developed a separate set of guidelines called the **Accounting Standards for Private Enterprises (ASPE)**.

©P

As of January 1, 2011, private businesses may choose IFRS or ASPE to govern their accounting practices. Since ASPE was developed from traditional Canadian standards, its guidelines force fewer changes in accounting procedures than the guidelines in IFRS. Therefore, most private enterprises will initially adopt ASPE, while holding on to the option of using IFRS in the future.

Accounting Standards and the Accounting Student

Public companies are required to publish annual reports, which are readily available online.

As a beginning accounting student, how concerned should you be with the complexities of domestic and international accounting standards? Certainly, post-secondary accounting students and professional accountants need to diligently study the details of IFRS and ASPE. Yet, a basic awareness of these particular standards and principles will help you, too, at these early stages of learning accounting. Familiarity with IFRS and ASPE will better equip you to read and to interpret financial statements that you will find in annual reports or online. Once you can easily and effectively read financial statements, you will find that your interest and expertise in business jumps to new, higher levels.

To build a functional awareness of accounting standards, you will be introduced to various principles as they relate to the topics in this text. Since you are studying the balance sheet in this chapter, let us look again at the financial statement for Pacioli Designs from Section 2.3 (Figure 2.10).

Three principles are introduced below with a discussion of how each relates to the balance sheet of Pacioli Designs.

Pacioli Designs			
Balance Sheet			
December 31, 20–			
Assets		*Liabilities*	
Cash	$ 16 18 00	Bank Loan	$ 9 00 00 00
Accounts Receivable		Accounts Payable	
– J. Tenney	13 50 00	– CMYK Supplies	19 05 15
– V. Weiss	18 50 50	– Golden Art Store	22 99 90
Supplies	17 50 50	– Premium Printing	17 50 95
Furniture	47 02 00	Total Liabilities	$ 14 95 60 00
Equipment	16 00 00 00		
Automobile	21 85 00 00	*Owner's Equity*	
		Grace Cho, Capital	34 16 50 00
Total Assets	$ 49 12 10 00	Total Liabilities and Equity	$ 49 12 10 00

Figure 2.10

A balance sheet showing the financial position of Pacioli Designs

Business Entity Concept

The heading of the balance sheet indicates the name of the business, what the financial statement is, and when it applies. Therefore, the subject matter of this statement is the financial position of Pacioli Designs on December 31, 20–. Even though we see the name of the owner, Grace Cho, on the balance sheet, we know nothing about her financial position. No extra data is given about her personal assets and liabilities. All that is known is that she has a claim on the assets of Pacioli Designs in the amount of $34 165.

©P

The **business entity concept** is a long-standing principle that keeps the accounting for a business organization separate from the personal affairs of its owner, or from any other business or organization.

This means that the owner of the business should not place any personal assets, such as the family home, on the business balance sheet. The balance sheet of the business must reflect the financial position of the business alone. The business entity concept is important in ASPE and IFRS, just as it was in Canadian GAAP.

The Cost Principle and The Continuing Concern Concept

Other interesting accounting principles can be seen on the Pacioli Designs balance sheet. Look at the value for supplies. Pacioli Designs originally paid $1750.50 for the supplies. The ASPE uphold the traditional **cost principle**, which requires accountants to record the value of assets at their historical cost price.

Readers of Pacioli's balance sheet are not concerned about the market value of the supplies because they know their original cost. They assume the business will continue operating and that the supplies will be eventually used. This is known as the **continuing concern concept**. It is also related to the cost principle and balance sheet interpretation.

The continuing concern concept assumes that a business will continue to operate unless it is known that it will not. This assumption frees the reader of a balance sheet from worrying about the market values of assets and whether debts will have to be paid before they are due.

The Revaluation Model

The revaluation model contained in IFRS allows for modifications to the cost principle. The **revaluation model** outlines an accounting procedure that allows accountants to change the value of particular assets based on market conditions.

For example, suppose the automobile in Figure 2.10 ($21 850) is a custom sports car that was purchased to add to the business's designer image. The market value of the sports car has risen to $30 000. If Grace Cho chooses to use IFRS for Pacioli Designs, she could change the value of the automobile to $30 000, based on the current market conditions.

If Grace chose IFRS and revalued the automobile to $30 000, the total assets of Pacioli Designs would increase by $8150. What else would change by $8150? If you said equity—the owner's claim on assets—then you are applying your understanding of accounting theory to new situations.

IFRS and Balance Sheet Formats

Consistent balance sheet formats allow readers and analysts to quickly reach conclusions that lead to good business decisions. For analytical purposes, balance sheets are often organized into classifications like the ones shown in Figure 2.11 (on the next page), the **classified balance sheet**.

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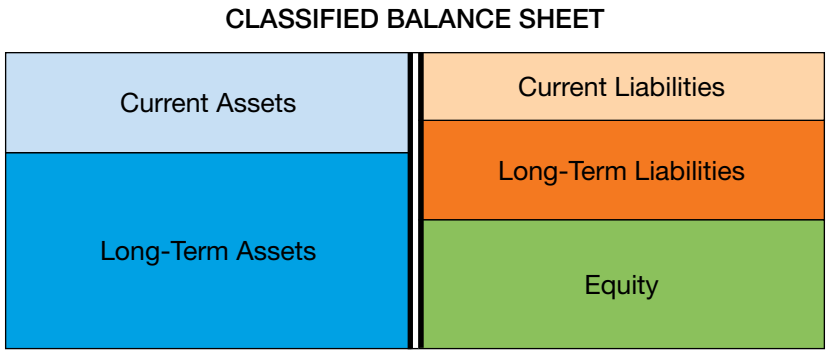


Figure 2.11
Balance sheet classifications

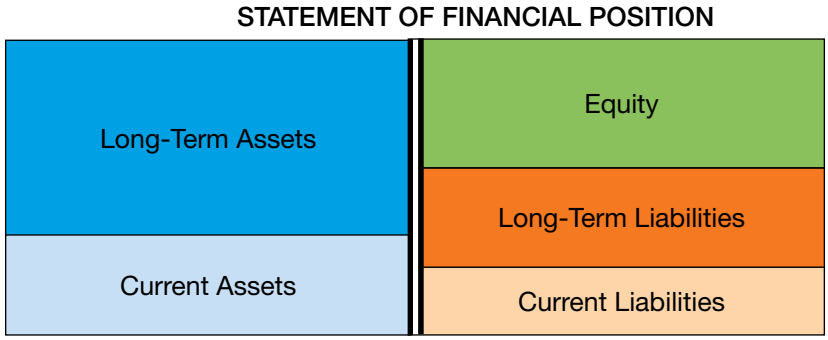
The pattern shown in Figure 2.11 follows the order of liquidity you learned in Section 2.2. It is also the pattern used by Pacioli Designs in Figure 2.10. New terms are listed below.

1. **Current assets** are cash and assets that will be converted into cash within one year, such as accounts receivable. Current assets also include assets that will be used up within a year, like supplies.
2. **Long-term assets** are items like land, buildings, and equipment (sometimes called property, plant, and equipment). These assets last longer than one year.
3. **Current liabilities** are those that are due within a year, such as accounts payable.
4. **Long-term liabilities** take more than a year to pay off. A mortgage is a common example.

Organizing the balance sheet into classifications helps the reader gain meaning and insight. Current assets are easily compared to the creditor's claims against them (current liabilities). Long-term assets, like a building, are shown with the mortgages against them.

Businesses in many countries using IFRS invert the order as shown in Figure 2.11. A typical structure under IFRS would look similar to Figure 2.12.

Figure 2.12
A balance sheet structure using IFRS



The order of both sides of the balance sheet has turned upside down. On the asset side, this inverted order reflects an emphasis on the long-term productive assets of a business, such as property, buildings, and equipment. On the right side, the order stresses the sources of the funds that were used to purchase the assets. The sources of funds begins with the owner(s), followed by the creditors.

Under IFRS, the name of the statement changes from balance sheet to **statement of financial position**.

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Presently, most private businesses in Canada choose ASPE rather than IFRS. Therefore, if you see the inverted order in Figure 2.12, you are likely examining the financial position of a public company.

Recall that a private company has the right to choose IFRS. Suppose Grace Cho did just that for Pacioli Designs. The balance sheet you saw in Figure 2.10 might look similar to Figure 2.13.

PACIOLI DESIGNS
STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 20–

Assets			***Equity and Liabilities***		
Long-Term Assets			*Equity*		
Automobile	$21 850.00		Grace Cho, Capital		$34 165.00
Equipment	16 000.00				
Furniture	4 702.00		*Current Liabilities*		
		$42 552.00	Bank Loan	$9 000.00	
Current Assets			Accounts Payable		
Supplies	$ 1 750.50		—CMYK Supplies	1 905.15	
Accounts Receivable			—Golden Art Store	2 299.90	
—J. Tenney	1 350.00		—Premium Printing	1 750.95	
—V. Weiss	1 850.50				14 956.00
Cash	1 618.00				
		6 569.00			
Total Assets		$49 121.00	Total Equity and Liabilities		$49 121.00

Figure 2.13
The statement of financial position for Pacioli Designs under IFRS

Review Questions

◀ Section 2.4

1. Over the years, what has the Canadian Institute of Chartered Accountants established?
2. In what publication are most of the rules of accounting found?
3. What is the AcSB?
4. What does IFRS stand for and what is the full name of the organization that sets IFRS?
5. When did Canadian public companies start using IFRS?
6. What does ASPE stand for?
7. What types of businesses use ASPE, when did they start using them, and why would they use them instead of IFRS?
8. Explain the business entity concept.
9. What is the cost principle?
10. How does the continuing concern concept relate to the cost principle?
11. What IFRS procedure gives a new perspective on the cost principle? Explain.
12. What is a current asset?
13. What is a current liability?
14. What is the classification for property, plant, and equipment?
15. Give an example of a long-term liability.
16. Cash must always be the first asset listed on the balance sheet. Comment on this statement.
17. What is the name of the balance sheet under IFRS?

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Section 2.4

Exercises

The Mortgage Payable for Arnold's Landscaping is on equipment, not land. Mortgages of this type are sometimes called chattel mortgages.

1. Arnold's Landscaping, owned by Arnold Vroom, had the following assets and liabilities on October 31, 20–:

Cash, $8200.45; Supplies, $850.00; Accounts Receivable: P. Cannon, $3050.00 and T. Horvath, $890.30; Furniture, $512.75; Equipment, $42 900.25; Truck, $32 160.50; Accounts Payable: Bev's Seed and Supply, $1515.88; Peter Power Equipment, $3356.00, ToughTurf Supplies, $950.05; Loan Payable (due this year), $6000.00; and Mortgage Payable, $24 000.

A. **Prepare a classified balance sheet (see Figure 2.11) for Arnold's Landscaping.** For help with the extra columns for subtotals and totals, use Figure 2.13 on page 37 as a guide.

B. **Comment about the business's ability to pay its debts.**

C. **Arnold Vroom asks you to prepare a balance sheet for his business that follows IFRS. Use the inverted order in Figure 2.12 on page 36.**

D. **Comment on the business's long-term assets and how it has generated the funds to buy those assets.**

2. Kevin Kaghee is the owner of Central Paving Company in Charlottetown, Prince Edward Island. His personal and business assets and liabilities are listed below and in your Workbook.

A. **Following the business entity concept, separate the list below into the two columns provided, either Business or Personal.**

B. **Calculate the total assets and the total liabilities in each column.**

C. **Calculate Kevin Kaghee's personal net worth and his equity in Central Paving Company.**

Assets	*Amount*	*Business*	*Personal*
Accounts Receivable	$27 460		
Boat and Motor	16 520		
Business Bank Balance	1 852		
Business Automobiles	48 054		
Furniture and Appliances	6 528		
Government Bonds of Owner	20 000		
House and Lot	599 600		
Office Furniture and Equipment	18 324		
Office Supplies	3 545		
Owner's Automobiles	18 657		
Paving Materials	55 326		
Personal Bank Balance	10 258		
Plant Property and Buildings	725 358		
Summer Cottage	265 874		
Trucks and Equipment	285 657		
Total Assets			

©P

Liabilities		*Business*	*Personal*
Accounts Payable	$ 3 500		
Business Bank Loan	156 000		
Mortgage on Plant Property	375 000		
Mortgage on House and Lot	260 000		
Mortgage on Summer Cottage	92 300		
Owed to Finance Co.—Business Equipment	136 522		
Total Liabilities			
Owner's Equity/Personal Net Worth			

Communicate It

Section 2.4

On page 33, you read that in 2011 over 100 countries had adopted IFRS. Public Canadian companies were required to use IFRS, and private Canadian businesses could choose IFRS or ASPE. This information was accurate for 2011.

Using online research, rewrite the last four paragraphs of the *Accounting Standards* section on pages 33 to 34 from your vantage point in time. Your research might answer questions like the following:

1. How many countries currently use IFRS?
2. Is ASPE still used or was it just a temporary measure?
3. What percentage of Canadian businesses choose ASPE?
4. Was the adoption of IFRS a success?

You may ask and answer your own questions, as well.

A Spreadsheet for Balance Sheets

2.5

Balance sheets present the financial position of a person, business, or organization in a formal way. The presentation format is important, as is the accuracy of the numbers. To create effective presentations and ensure accuracy, accountants make great use of computer systems and business software.

Spreadsheets are software programs designed for a large assortment of mathematical tasks, including calculating, organizing, and presenting data. While there are a few different makers of spreadsheet software, Excel dominates the business marketplace. Regardless of the maker or version, most spreadsheets share a similar look and feel or **format**.

Figure 2.14, on the next page, shows an Excel file, which is also called a workbook or book, for short. The workbook currently has three worksheets, or sheets, for short. Worksheet tabs appear at the bottom left of Figure 2.14. Each worksheet is arranged in a gridlike pattern with multiple columns and rows. The active worksheet in Figure 2.14 is Sheet 3.

Letters of the alphabet identify the vertical columns. Numbers identify the horizontal rows. Each rectangle in the grid is known as a cell. **Cells** are the points of entry for most user data and formulas. They are formed by the intersection of the columns and the rows. Each cell has a cell address for identification, such as A1, A2, B5, C8, and so on. When you move the mouse, the icon that appears on your monitor is called the cell pointer. In Excel, the cell pointer is a white cross. When a cell is selected, it becomes an active cell. If you enter data in an active cell, the contents will appear in the formula bar.

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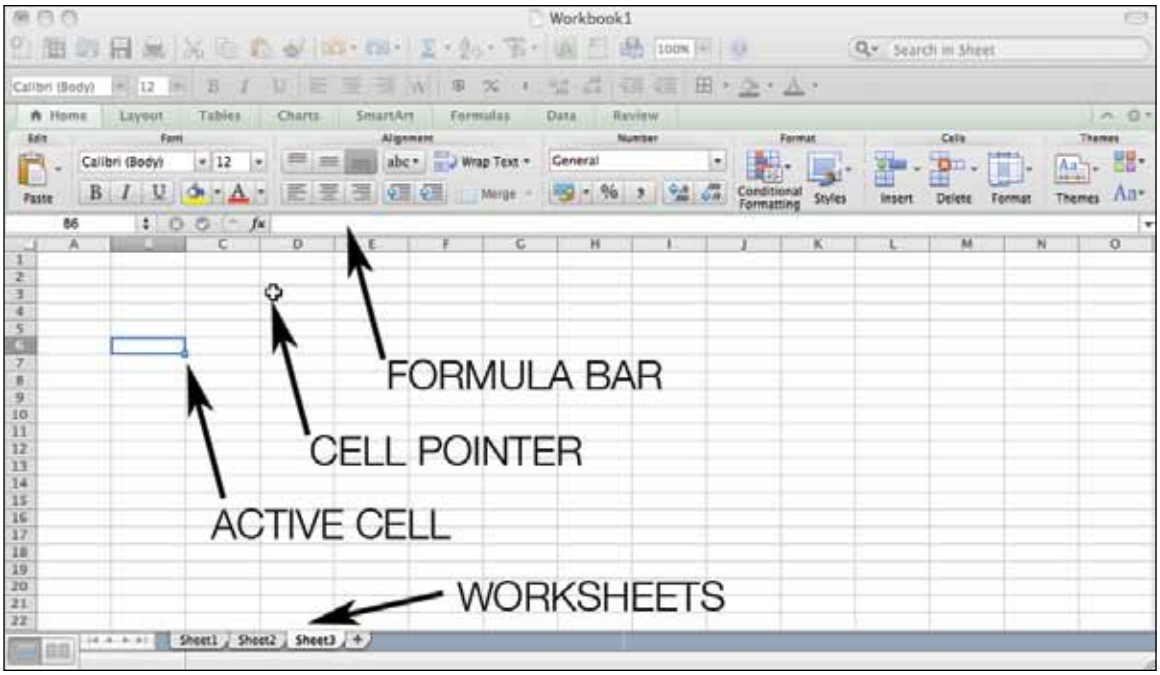

Figure 2.14
An Excel file

Preparing a Personal Balance Sheet

Amy Beck is a high school student who needs to prepare a personal balance sheet. You will now work along with the text to complete this task for her using a spreadsheet. If you do not have access to a computer at this time, continue to read so you can identify the important features of a spreadsheet.

Load spreadsheet software into your computer. Create a new spreadsheet file or workbook and save it right away. Use the name *AmyNovember*. Your software will likely add an extension to the file name, such as *.xls*. Remember to save your file often.

Notice that the grid is much larger than what you can see on your screen at any one time. You can navigate this large spreadsheet grid by using the mouse, arrow keys, Tab key, Enter key, scroll bars, and so on.

You will enter four different types of **cell contents** into the worksheet: labels, values, formulas, and functions.

Labels

If a label is longer than the width of a cell, it will spill over into the next cell—as long as the next cell is blank.

Amy has made a list of what she owns and what she owes. In spreadsheet terms, words are called **labels**. Type the labels shown in Figure 2.15, on the next page, into the cell locations indicated. (Note: If you make a mistake as you type, use the Backspace key. If you notice a mistake after you have pressed the Enter key, go back to the cell and type the correct label.)

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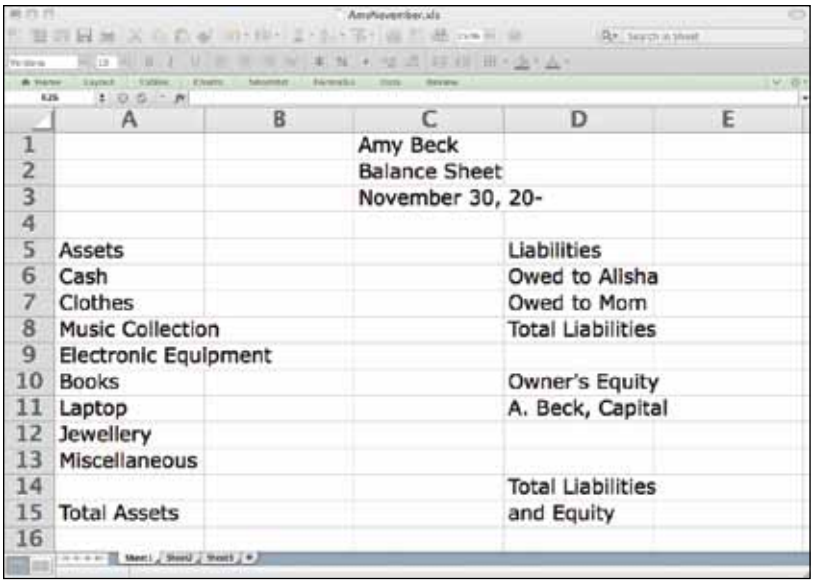


	A	B	C	D	E
1			Amy Beck		
2			Balance Sheet		
3			November 30, 20-		
4					
5	Assets			Liabilities	
6	Cash			Owed to Alisha	
7	Clothes			Owed to Mom	
8	Music Collection			Total Liabilities	
9	Electronic Equipment				
10	Books			Owner's Equity	
11	Laptop			A. Beck, Capital	
12	Jewellery				
13	Miscellaneous				
14				Total Liabilities	
15	Total Assets			and Equity	
16					

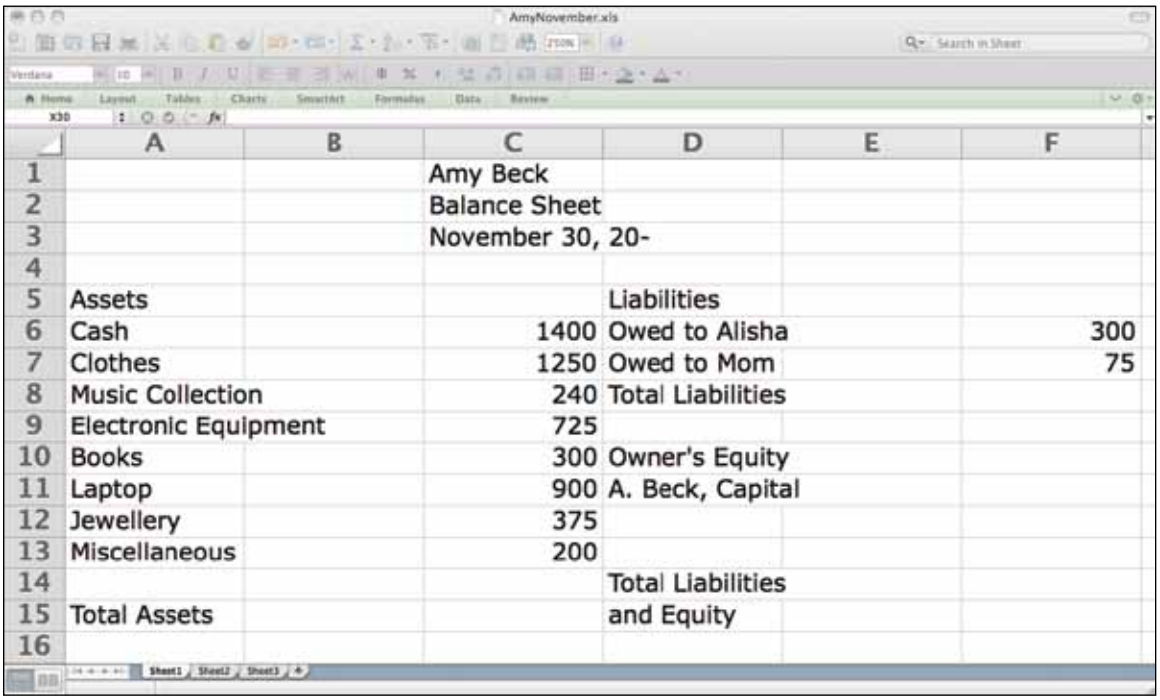
Figure 2.15

The labels for Amy Beck's balance sheet

Values

Amy has estimated the original cost values of her possessions. These amounts, along with her liability figures, are shown in Figure 2.16. In spreadsheet terms, numerical amounts are referred to as **values**. Unlike labels, values can be manipulated mathematically.

Enter the values displayed in Figure 2.16 into your spreadsheet. Be sure to enter the information into the correct cells. For instance, in this spreadsheet, the first asset amount (for Cash) is $1400. It must be entered at C6. Continue entering values into the correct cells, as shown in Figure 2.16.



	A	B	C	D	E	F
1			Amy Beck			
2			Balance Sheet			
3			November 30, 20-			
4						
5	Assets			Liabilities		
6	Cash		1400	Owed to Alisha		300
7	Clothes		1250	Owed to Mom		75
8	Music Collection		240	Total Liabilities		
9	Electronic Equipment		725			
10	Books		300	Owner's Equity		
11	Laptop		900	A. Beck, Capital		
12	Jewellery		375			
13	Miscellaneous		200			
14				Total Liabilities		
15	Total Assets			and Equity		
16						

Figure 2.16

The values for Amy Beck's balance sheet

©P

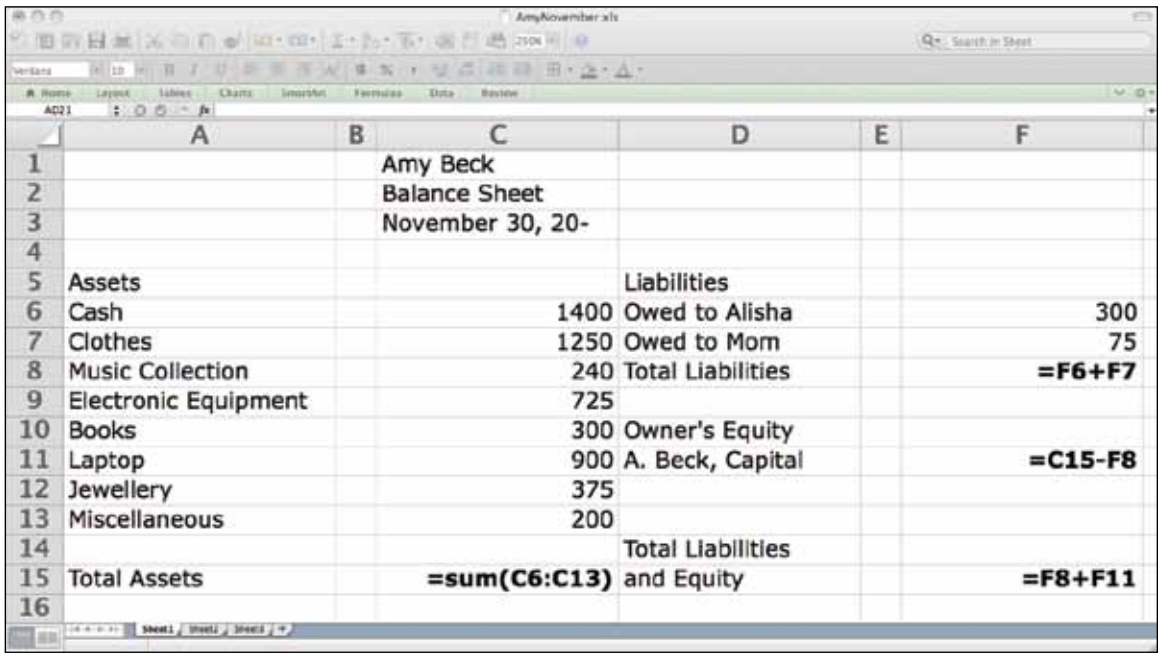
Formulas

Spreadsheet **formulas** perform mathematical operations. Formulas are entered into the **formula bar**. Cell contents may be added, subtracted, multiplied, and divided for a **cell display**. An example of a formula is =A3+A4. This formula instructs the spreadsheet to add the contents of A3 to the contents of A4.

Instead of typing cell references in formulas, try pointing to them with the mouse. For example, to calculate Total Liabilities, press the equal sign, click cell F6, press the plus sign, and click cell F7.

The equals sign in =A3+A4 is a prefix symbol used by Excel that helps the spreadsheet identify the cell contents as a formula. If no prefix symbol were typed, the spreadsheet might interpret A3+A4 as a label. Different spreadsheets use different prefixes. The = and the + signs are common prefixes.

In Figure 2.17, the appearance of the spreadsheet has been changed in order to show you three formulas in column F. Enter these formulas now. Notice what happens in the worksheet area when you enter the formulas. Do not be concerned that two of the formulas will temporarily produce incorrect results. (Note: This textbook shows the formula prefix used by Excel, which is the equal sign.)



	A	B	C	D	E	F
1			Amy Beck			
2			Balance Sheet			
3			November 30, 20-			
4						
5	Assets			Liabilities		
6	Cash		1400	Owed to Alisha		300
7	Clothes		1250	Owed to Mom		75
8	Music Collection		240	Total Liabilities		=F6+F7
9	Electronic Equipment		725			
10	Books		300	Owner's Equity		
11	Laptop		900	A. Beck, Capital		=C15-F8
12	Jewellery		375			
13	Miscellaneous		200			
14				Total Liabilities		
15	Total Assets		=sum(C6:C13)	and Equity		=F8+F11
16						

Figure 2.17

The spreadsheet model, showing three formulas in column F and one function in column C

Functions

If you wanted to add Amy's assets using a formula, you could type in =C6+C7+C8+C9+C10+C11+C12+C13. But there is an easier way. You can use a function. **Functions** are detailed formulas built into spreadsheet software, but they are expressed in a way that makes them simple to use. To calculate the total of Amy's assets, you will enter a function at C15. The built-in function for adding things up is the SUM function.

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Move the cell pointer to C15. Type in =SUM(C6:C13). Press Enter and the amount of the total assets will appear in cell C15.

All functions begin with a prefix (e.g., the equal sign) followed by the name of the function (e.g., sum). After the name of the function, brackets appear. The brackets enclose data that the function needs in its calculations. Usually, the data are cell references (e.g., C6:C13).

Since the SUM function is used frequently, you will likely find a shortcut button. In Excel, the shortcut button (∑) is named AutoSum. When you click it, the software will enter the prefix and the name of the function. The software will also guess the range of cells to add up. If you do not like the guess made by the software, simply use your mouse to highlight a different range of cells. No typing is required when this shortcut method is used. Try it.

Changing Spreadsheet Amounts

A big advantage of spreadsheets over calculators is that formulas and functions can instantly update figures. For example, when she calculated her cash total, suppose Amy Beck forgot to subtract the $300 she paid for dance lessons. The revised Cash amount should be $1100, not $1400. Enter the new total of 1100 at cell C6 and watch what happens.

In response to the one change in the cash amount, three other figures were updated automatically: Total Assets; A. Beck, Capital; and Total Liabilities and Equity. The reason these three cells change is that each contains either a function or a formula. In a more complex spreadsheet hundreds of figures can be updated in response to a change in one cell.

Review Questions

◀ Section 2.5

1. In a spreadsheet, what is formed by the intersection of columns and rows?
2. How would you identify a cell in row 52 and in column C?
3. What is the spreadsheet term for words and titles?
4. Identify the differences between labels and values.
5. What are the contents of a cell and in what area of a spreadsheet are they seen?
6. Many spreadsheet programs require prefix symbols to be typed when entering formulas and functions. What would happen if you forgot to enter a prefix symbol when typing a sum function into one of these programs?
7. Explain how the contents of a cell could be different than what is displayed in the worksheet area for that cell.
8. What does =SUM(B3:B50) instruct a spreadsheet to do?
9. What does =A7–A5 instruct a spreadsheet to do?
10. Describe a main advantage of spreadsheets.

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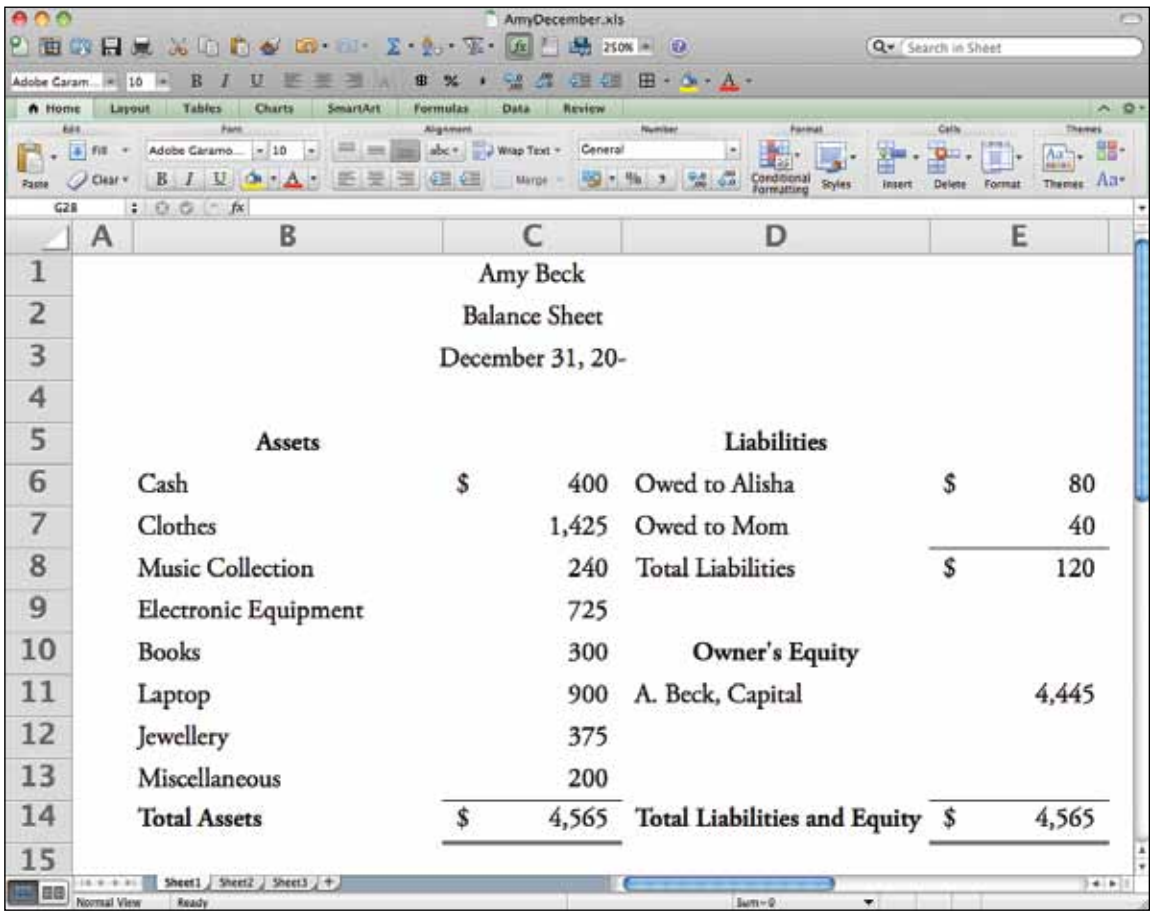
Section 2.5 ▶ Exercises

1. A. Load the spreadsheet model you created for Amy Beck (*AmyNovember*) into your computer.
   B. Choose File, Save As and change the name of the file to *AmyDecember*. (Note: Changing the name creates a second file on your disk, which ensures that data in the original *AmyNovember* file will not be changed.)
   C. Change the date at C3 to December 31, 20–.
   D. Because it is one month later, you also need to make other changes. The new values to be entered are:

   Cash, 400; Clothes, 1425; Owed to Alisha, 80; and Owed to Mom, 40

   E. New totals are calculated as soon as you enter the above changes. Has Amy's financial position improved or worsened? Why do you think this might have happened?

2. You can change the appearance or format of a spreadsheet model. The improved format for the file *AmyDecember* is shown below, followed by a list describing the changes made.



	A	B	C	D	E
1		Amy Beck			
2		Balance Sheet			
3		December 31, 20-			
4					
5		**Assets**		**Liabilities**	
6		Cash	$ 400	Owed to Alisha	$ 80
7		Clothes	1,425	Owed to Mom	40
8		Music Collection	240	Total Liabilities	$ 120
9		Electronic Equipment	725		
10		Books	300	**Owner's Equity**	
11		Laptop	900	A. Beck, Capital	4,445
12		Jewellery	375		
13		Miscellaneous	200		
14		**Total Assets**	$ 4,565	**Total Liabilities and Equity**	$ 4,565
15					

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- The empty columns between the balance sheet labels and amounts were deleted (columns B and E from Figure 2.17).
- A column was inserted to the left of the list of assets. Then this new column was narrowed.
- Columns B and D were widened.
- The balance sheet heading was centred.
- Subheadings were set in boldface and centred.
- Amounts were formatted to show no decimal points. Dollar signs were added to some amounts.
- Single and double rules were applied.
- Cell gridlines were removed from view.
- The label, "Total Liabilities and Equity," was put into one cell.
- A row was deleted.
- The font was changed to provide a more formal look.
- The labels in row 14 were set in boldface.

Spreadsheet programs usually provide multiple methods for completing any one task. For example, to make the changes above, you can use menu selections, your mouse's right-click features, keyboard shortcuts, or the shortcut buttons shown across the top portion of the spreadsheet window.

Explore and use your spreadsheet software. Try to make all of the 12 changes noted above. Hints: To highlight an entire column, click its identifying letter at the top of the column (A, B, C, D, etc.). To select an entire row, click its number at the left of the spreadsheet window (1, 2, 3, 4, etc.). If you have questions about how to apply particular formats, try using your favourite search engine or the software's Help menu to answer them.

Personalize It

◀ Section 2.5

Apply your knowledge of spreadsheets to create a personal balance sheet of your own. Use original cost values to estimate the value of your possessions. Your spreadsheet model should have at least one sum function. List at least two liabilities. (If you truly have no liabilities, make them up.) Format the spreadsheet model so that it is attractive. For an extra dimension beyond Amy Beck's balance sheet, try using the balance sheet classifications you learned in Section 2.4 (Current Assets, Long-Term Assets, and so on).

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Section 2.5 ▶ Communicate It

Amy Beck made an omission on her December 31 balance sheet. She forgot to include a treasured gift that she received during the holiday season—a half-season ticket package to her hometown team in the National Hockey League! The package includes 20 games, plus the right to purchase the seats throughout the playoffs. The cost of each ticket is $125 during the regular season and $250 in the playoffs.

A. **Load Amy's December 31 balance sheet back into your computer. Insert a row after Cash and enter the label Hockey Tickets into the list of assets.** (Inserting a row will affect your liability accounts. Rearrange them as necessary).

B. **Enter the cost value of the tickets, not including playoffs.** Hint: Use a spreadsheet formula to calculate the total cost value.

C. Since the team is in first place in the overall standings, Amy is sure she will be able to buy some playoff tickets. She thinks this fact should increase the asset value of the tickets, especially since she plans to sell tickets to some games to her friends. In a space below the balance sheet, **write a paragraph or two giving your opinion about the asset value of the tickets**. In your comments, make mention of accounting principles that relate to the situation. Also, if you agree with Amy, use your spreadsheet to calculate what you think the value of the tickets should be. (Note: The number of playoff games will range anywhere from 2 to 16.)

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CHAPTER 2 SUMMARY

Chapter Highlights

Now that you have completed Chapter 2, you should

- understand what is meant by the financial position of a person or a business
- be able to prepare a simple balance sheet in proper form for an individual or a business
- know the meaning of accounts receivable and accounts payable
- understand the fundamental accounting equation
- understand the meaning of claims against the assets
- understand the concept of liquidity
- know how accounting standards are established and which ones affect Canadian businesses
- understand the basic operations of spreadsheet software

Accounting Terms

Accounting Standards Board (AcSB)
Accounting Standards for Private Enterprises (ASPE)
accounts payable
accounts receivable
asset
balance sheet
business entity concept
Canadian Generally Accepted Accounting Principles (GAAP)
capital
classified balance sheet
continuing concern concept
cost principle
creditor
current asset
current liability
debtor
equity
financial position
fundamental accounting equation
International Accounting Standards Board (IASB)
International Financial Reporting Standards (IFRS)
liability
liquidity
long-term asset
long-term liability
net worth
owner's equity
revaluation model
statement of financial position

CHAPTER 2 REVIEW EXERCISES

Using Your Knowledge

1. In your Workbook, circle the best answer to each question.

A. The financial position of a business is
   a. the difference between total assets and total liabilities.
   b. represented by the assets, the liabilities, and the capital.
   c. the same as the net worth of the business.

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B. If the total assets increase by $10 000 and the total liabilities decrease by $10 000, the capital will
   a. increase by $20 000.
   b. be unchanged.
   c. decrease by $20 000.

C. Which one of the following is not true?
   a. A – E = L b. A – L = E
   c. A + L = E d. A = L + E

D. A balance sheet shows
   a. all of the owner's assets and liabilities.
   b. a financial picture of the business on a certain date.
   c. the progress of the business over a period of time.

E. Which one of the following is not true?
   a. The heading of a balance sheet shows the date as of which it was prepared.
   b. Assets are listed in the order of their liquidity (under ASPE).
   c. Accounts receivable are considered to be a liquid asset.
   d. Personal assets have no place on the business balance sheet.
   e. A truck that cost $10 000 and for which $6000 is owed is listed on the balance sheet at $4000.

F. Abbreviations may be used on financial statements
   a. when it is necessary to crowd things to conserve space.
   b. to save time in preparing the statements.
   c. in a company name if the abbreviation is a formal part of the name.

G. Which one of the following is not true? Ruled lines are
   a. used to underline headings.
   b. used to indicate that columns of numbers are to be totalled.
   c. necessary to separate sections of the balance sheet.
   d. doubled to indicate a final total.

H. Before a business is closed down, the equation for it is

   Assets ($125 000) = Liabilities ($37 000) + Equity ($88 000)

   If assets of $70 000 are sold for $20 000, assets of $50 000 are sold for $90 000, and the remaining assets stay the same, the equation will become
   a. $55 000 = $37 000 + $18 000
   b. $115 000 = $37 000 + $78 000
   c. $75 000 = $37 000 + $38 000
   d. $135 000 = $47 000 + $88 000
   e. $115 000 = $27 000 + $88 000

I. Which of the following is not true?
   a. In the liability section on a balance sheet, accounts payable may be listed first.
   b. On a balance sheet, there are three main totals.
   c. On a balance sheet, the owner's name appears only in the heading.
   d. On a balance sheet, the final totals are always on the same line.

J. Which of the following is true?
   a. IFRS must be used by all businesses in Canada.
   b. In many countries using IFRS, the liquidity order of assets is inverted.
   c. Canadian GAAP has replaced ASPE.
   d. The IASB controls the AcSB.

2. If, over the course of the year, Jason's equity increases by $42 000 and his assets increase by $26 000, what change has occurred in his liabilities?

3. If Fatima's total assets increase by $10 000 and her equity increases by $3000, what change has occurred in her liabilities?

4. If Ravi's liabilities increase by $15 000 and his equity decreases by $5000, what change has occurred in his assets?

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5. Carmen Ing is a graphic designer who creates webpages for various businesses. She prepared a balance sheet for Carmen's Web Creations, which is shown below.

CARMEN'S WEB CREATIONS
SEPTEMBER 30, 20–
BALANCE SHEET

Accounts Receivable		Liabilities	
– Tse Networks	$ 1 780.00	Drive Computer Co.	$ 676.98
– Nina's Creations	460.50	Wilson's Supply	100.90
Cash	3 652.80	Zip Software	412.00
equipment	6 500.30	Bank Loan	3 500.00
supplies	900.25	Total Liabilities	$ 4 689.88
		Owner's Equity	
Total Assets	$13 293.85	Carmen's Web Creations	8 603.97
		Total Liabilities and Equity	$13 293.85

A. **List the errors that Carmen made when she prepared the balance sheet.** (You should be able to find more than 10 errors.)
B. **Prepare a new balance sheet for Carmen's Web Creations.**

6. Shown below are some financial figures for SMA Consultants, owned by S. Magbool.

Cash, $6000; Accounts Payable, $35 000; Accounts Receivable, $14 000; Mortgage Payable, $160 000; Land, $240 000; Buildings, $195 000; Equipment, $25 000.

A. **Prepare a classified balance sheet (Current Assets, Current Liabilities, etc.) dated September 30, 20–.**
B. **On the basis of the limited information given, would you say that Magbool's business has any kind of financial problem? Explain.**

7. On December 31, 20–, you present your business's balance sheet, shown below, to the manager of the local bank with the hope of obtaining a small bank loan.

BALANCE SHEET
DECEMBER 31, 20–

Assets		*Liabilities*	
Cash	$ 5 000	Accounts Payable	$ 17 000
Accounts Receivable	25 000	Mortgage Payable	335 000
Land	200 000	Total Liabilities	$352 000
Building	230 000		
Equipment	20 000	*Owner's Equity*	128 000
Total Assets	$480 000	Total Liabilities and Equity	$480 000

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During your conversation with the manager, you mention the following:

- About $8000 owing from customers is considerably overdue.
- A mortgage payment of $4000 is due on January 31.
- All creditors' accounts are due within 30 days.
- The average earnings of the business for the past five years have been very good.

A. **Would the bank manager grant the loan? Why?**
B. **What concerns might the manager have? Why?**

8. Using your favourite internet search engine, type in a phrase like *Canadian Annual Report*. Find an annual report of a Canadian company that interests you. In the annual report, you will find a statement of financial position.

   From the statement you find, make a list of the headings and sub-headings like those shown in Figure 2.13. (Figure 2.13 shows a statement prepared under the International Financial Reporting Standards.) **Also, identify at least three significant differences between your statement and Figure 2.13.**

Questions for Further Thought

Briefly answer the following questions.

1. The balance sheet is thought of as being a snapshot of the business. Explain this statement.

2. Assets and liabilities can be thought of as things that can be touched or seen. For example, you can go into the parking lot and touch the automobile, or you can see the signed bank loan at the bank. Equity is not like this. Explain.

3. Give reasons why business people sell on credit when there is a chance that they will not be able to collect the debt.

4. Work out another acceptable definition of a balance sheet besides the one given in the textbook.

5. In three words, state what information is contained in the heading of a balance sheet.

6. If a bank were to lend funds to a business, the bank would become a secured creditor. What does this mean? How does the bank accomplish this? Why do other creditors not do the same?

7. Given what you have learned so far, explain how the earnings of a business can be determined from its balance sheets if you know that the owner neither contributed nor withdrew any funds or other assets.

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CASE STUDIES

Is Money Better?

CASE 1

Hannah and Aysha are school friends of yours at Vanier High School. The two girls happen to be discussing their personal fortunes at the moment. Hannah is feeling rich because she has $2000 in a personal bank account. A distant aunt who died recently left her the money.

Aysha feels pretty well off, too. She has less money but she does have some valuable possessions, including fashionable clothes and jewellery, as well as some Canada Savings Bonds that were left to her by her grandmother. For reasons that she cannot explain, she feels that she is just as well off as Hannah.

You get into the conversation at lunch break. You suggest to the two girls that they each prepare a personal balance sheet. You explain how to go about it and how to estimate the value of non-cash items. The balance sheets, you say, will show who is better off financially.

The girls prepare their balance sheets according to your directions and come up with the following:

HANNAH'S
BALANCE SHEET
SEPTEMBER 30, 20–

Assets	
Bank Balance	$2 000
Clothes	1 500
Total Assets	$3 500
Liabilities and Equity	
Debts Owing	nil
Hannah's Capital	$3 500
Total Liabilities and Equity	$3 500

AYSHA'S
BALANCE SHEET
SEPTEMBER 30, 20–

Assets	
Bank Balance	$ 10
Laptop Computer	500
Jewellery	1 000
Canada Savings Bonds	1 100
Clothes	1 200
Total Assets	$ 3 810
Liabilities and Equity	
Debts Owing	$ 200
Aysha's Capital	3 610
Total Liabilities and Equity	$ 3 810

When the two girls get together to compare balance sheets, they still cannot agree. Hannah thinks that she is better off because she has more cash and clothes. Aysha disagrees because she has greater capital. In a paragraph, discuss these balance sheets with Hannah and Aysha. Explain to them how to measure a person's equity.

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CASE 2 Can You Spend the Equity?

Raj Singh is a young man who has just inherited a business from his father, Viresh. Raj has little business experience but is anxious to learn and willing to work hard.

The business has not been operating very profitably lately because it badly needs to replace outdated equipment. This will cost $35 000.

The latest balance sheet of the business shows the following:

BANNAGER'S CLEANER
BALANCE SHEET
APRIL 30, 20–

Assets		*Liabilities*	
Cash	$ 3 000	Accounts Payable	$ 5 000
Accounts Receivable	17 000	Bank Loan	30 000
Land	330 000	Mortgage Payable	250 000
Building	150 000	Total Liabilities	$285 000
Equipment	20 000		
		Owner's Equity	
		V. Singh, Capital	235 000
Total Assets	$520 000	Total Liabilities and Equity	$520 000

After examining the balance sheet, Raj believes that he sees the solution to the problem. He wants to use the equity to purchase the new equipment. The accountant hastens to point out to Raj that this is not possible. Raj demands an explanation. What explanation will the accountant give?

CASE 3 Are the Assets Always Worth What the Balance Sheet Says?

Challenge

Hilda Lahti is the owner of Custom-Made Products in Ottawa, Ontario. Originally, Custom-Made Products was a machine shop that produced a variety of custom work. In the last few years, the company has developed and patented a line of scaffolding equipment for contractors and builders. The scaffolding equipment produced by the company is better than that of its competitors. As a result, the company has had great success with the new product. At the same time, the custom machine shop division of the business has been doing poorly. There is a lot of competition from other machine shops in the community. In the last year, the company earned $135 000. Of this, $110 000 was from the sale of scaffolding equipment and only $25 000 was from the machine shop.

Recently, Hilda has decided to make a major change in the company operations. In particular, she has decided to get out of machine shop work. She intends to concentrate all of the energies of the company on expanding the markets for scaffolding and developing new products of this type. The change in policy has been made official, and the customers of the company have been notified.

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The most recent balance sheet for the company, prepared at the request of the company's bank, provides the following information:

Assets	
Cash	$ 1 500
Accounts Receivable	20 540
Supplies	1 821
Land and Building	302 500
Machinery and Equipment	205 365
Automotive Equipment	65 385
Total Assets	$597 111
Liabilities	
Bank Loan	$105 000
Accounts Payable	11 850
Mortgage Payable	285 000
Total Liabilities	$401 850
Owner's Equity	
H. Lahti, Capital	195 261
Total Liabilities and Equity	$597 111

The bank manager who receives the above balance sheet notices that no adjustment has been made to show the company's decision to quit custom machine shop work. Inquiries reveal that the company has $155 000 of specialized machine shop equipment included in the Machinery and Equipment figure of $205 365 on the balance sheet. It is generally agreed that the market for this type of equipment is quite poor. The company's equipment is outdated, and most other machine shops have already acquired modern computer-controlled equipment.

Questions

1. On the basis of the preceding statement, why would the bank manager be concerned about the repayment of the bank loan?
2. What additional information would help the bank manager to evaluate the company's loan?
3. What needs to be done regarding the above balance sheet?
4. Assuming that a buyer is found for the machine shop equipment who pays $35 000, what changes should be made on the balance sheet?
5. Prepare a simple balance sheet to show the changes.

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CASE 4

Co-operative Learning

Should Your Friends Purchase This Business?

Your friends Joseph and Janice Dubois have recently inherited some money and want to use it to purchase a business of their own. They have come to you for advice regarding the possible purchase of a sand and gravel business. They learned about the sale of the sand and gravel business through an advertisement in the newspaper.

The business is being sold by K. Vako, who has owned it for 20 years and wants a change because of failing health. The business has been profitable over the years, earning an average of $50 000 per year over the last 10 years.

The balance sheet below has been prepared by Mr. Vako personally.

VAKO SAND AND GRAVEL
BALANCE SHEET
DECEMBER 31, 20–

Assets		*Liabilities*	
Bank	$ 500	Bank Loan	$ 30 000
Accounts Receivable	17 400	Accounts Payable	22 740
Supplies	1 100	Mortgage Payable	150 000
Equipment	67 600	Total Liabilities	$202 740
Gravel Deposits	200 000		
Land	240 700	*Owner's Equity*	
Buildings	38 000	K. Vako, Capital	362 560
Total Assets	$565 300	Total Liabilities and Equity	$565 300

Mr. Vako is asking $350 000 for the business. This seems to be a very good price. It is less than his capital figure as shown on the balance sheet.

Work in a small group to help Joseph and Janice decide if they should buy the sand and gravel business. Prepare a list of questions that need to be answered and be ready to present your list to the class. To help you, a first question is already given below.

What condition is the equipment in and is it really worth $67 600?

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CAREER

Michael Tam
University Student

Michael Tam is currently in his third year at the Sauder School of Business at the University of British Columbia. He plans to obtain his Bachelor of Commerce degree and then enrol with the Canadian Institute of Chartered Accountants.

During his last two years at Eric Hamber Secondary School, Michael studied accounting. He enjoyed his accounting courses and found them very useful.

"I learned the basics of accounting, such as the balance sheet, income statement, trial balance, journal entries, GAAP, etc. I was also given the opportunity to work with spreadsheets and to use Sage Simply Accounting software.

"This course was a very good introduction into the world of accounting even though it only scratched the surface. I continued with Financial Accounting in grade 12. This course covered more material, and we began to analyze and interpret financial statements and information, for example, by using accounting ratios. We were getting more of a feel of what accountants actually do since a substantial amount of what we learned in Accounting 11 is done automatically by computers."

Michael's parents are both professional accountants: his mother is a Chartered Accountant (CA), and his father is a Certified General Accountant (CGA). They have shared stories about their work experience and the responsibilities they face every day. Therefore, Michael has known from a young age that being a professional accountant entails more than just numbers.

Besides being an inspiration to him, Michael's parents have also been a very useful resource that he turned to when deciding which profession to pursue.

"My parents have very stable and successful careers, and they use their leadership, communication, teamwork, and analytical skills every day. I would like to pursue a profession where I am able to grow as a person and have doors open to me for new opportunities."

Michael worked as an accounting clerk at Burrard International Holdings Inc./GolfBC Holdings Inc. for two summers. He organized and processed accounts payable invoices, prepared monthly bank reconciliations, and eliminated accounting record errors. He also handled and prepared hundreds of company cheques addressed to creditors and suppliers. This position gave him the opportunity to apply the knowledge and skills he learned in his accounting courses.

In his first year at university, he took Financial Accounting. He found his courses in high school helped immensely.

"One thing you notice immediately though is that university courses brush through the course material very quickly. Practically everything I learned in Accounting 11 and 12 was covered in about a little more than a month. I had an obvious advantage as I had learned a good portion of the material already."

One useful tool that Michael used in his accounting courses was Excel spreadsheet software. He began using it in his Accounting 11 and 12 courses. In his second year of university, he took a course called Quantitative Decision Making, which utilized Excel spreadsheet software at a higher level.

"I utilized Excel spreadsheet software and exploited its true potential for solving mathematical problems. I found it particularly tricky at first, but if you discipline yourself and do the assignments and problems on your own, you will understand and be able to utilize the software to solve whatever mathematical problems the professor throws at you."

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The accounting courses and work experience helped solidify Michael's decision to pursue his career goal of becoming a CA. After attending multiple information sessions held by various accounting firms and going through the recruiting process, he was given an internship at PricewaterhouseCoopers (PwC) and will be starting in May 2012. He hopes to work full-time at PwC in May 2013.

Discussion

1. As professional accountants, what skills do Michael's parents use every day?
2. Explain how and why Michael's high school courses helped him at university.
3. Michael wants to become a professional accountant rather than an accounting clerk. Why, then, did he take a job doing accounting clerical activities? Give two or three reasons.

Research and Writing Questions

4. One of Michael's commerce courses that used Excel software was called Quantitative Decision Making. From the title alone, what do you think this course was about? Write a description of the course using three or four sentences. After, conduct online research to confirm and modify what you have written, if necessary.
5. In this Career Profile, Michael did not mention that he won the CGA's Grade 12 Continuing Education Scholarship. This prestigious scholarship is granted by the British Columbia Chapter of the Certified General Accountants of Canada. Only ten such scholarships are awarded each year.

   Do online research to discover similar accounting scholarships in your province. In your write-up, clearly identify each scholarship, its requirements, and its benefits.

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